

A Vision for the Northeast Neighborhood



Bozeman, MT R/UDAT Report

AIA Communities by Design 
ENVISION. CREATE. SUSTAIN.



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THE R/UDAT PROGRAM – HOW IT WORKS

The Regional and Urban Design Assistance Team (R/UDAT) program is a public service of the American Institute of Architects. The Bozeman R/UDAT represents the 155th R/UDAT project the AIA has held since 1967. The program has served a variety of communities over time, with populations ranging from less than 1,000 people to large jurisdictions of several hundred thousand. Through the program, over 1,000 professionals from more than 30 disciplines have provided millions of dollars in professional pro bono services to communities all over the country, engaging tens of thousands of participants in community-driven planning processes. It has made major contributions to unique and authentic places in America, such as the Embarcadero in San Francisco, the Pearl District in Portland and the Santa Fe Railyard Redevelopment in New Mexico. The process has also been widely adapted around the world.

THE DESIGN ASSISTANCE PHILOSOPHY

The design assistance philosophy is built around a whole-systems approach to communities. While the normal public decision-making process is conducted within the parameters of representative government, design assistance transcends the political process and expands the public dialogue to include other sectors with the intent of building a platform for cross-sector collaboration, civic leadership, and a new approach to public work. The design assistance process brings together government and civic leaders, the business sector, non-profit leaders and the general public in an integrated, 'whole-community dialogue' to build collective action plans for the future. The Design Assistance program operates with four key considerations:

Context. *Every community represents a unique place that is the product its own history, tradition and evolution.* There are no one-size-fits-all approaches to community building. Therefore, each project is designed as a customized approach to community assistance which incorporates local realities and the unique challenges and assets of each community. National experts are matched by subject matter expertise and contextual experience to fit each project. Public processes are designed to fit local practices, experiences and culture.

“We aren’t going to rebuild our cities from the top down. We must rebuild them from the bottom up.”- David Lewis, FAIA

Systems Thinking. *Successful community strategies require whole systems analyses and integrated strategies.* As a result, each design assistance team includes an interdisciplinary focus and a systems approach to assessment and recommendations, incorporating and examining cross-cutting topics and relationships between issues. In order to accomplish this task, the Center forms teams that combine a range of disciplines and professions in an integrated assessment and design process.

Community Engagement and Partnership. *Community building requires collective public work.* Each design assistance project is a public event, an act of democracy. The 'citizen expert' is central to the design assistance process. The AIA has a five decade tradition of designing community-driven processes that incorporate dozens of techniques to engage the public in a multi-faceted format and involve the community across sectors. This approach allows the national team to build on the substantial local expertise already present and available within the community and leverage the best existing knowledge available in formulating its recommendations. It also provides a platform for relationship building, partnership, and collaboration for implementation of the plan.

Public Interest. *Successful communities work together for the common good, moving beyond narrow agendas to serve the whole.* The goal of the design assistance team program is to provide communities with a framework for collective action. Consequently, each project team is constructed with the goal of bringing an objective perspective to the community that transcends the normal politics of community issues. Team members are deliberately selected from geographic regions outside of the host community, and national AIA teams are typically representative of a wide range of community settings. Team members all agree to serve pro bono, and do not engage in business development activity in association with their service. They do not serve a particular client. The team's role is to listen and observe, and to provide an independent analysis and unencumbered technical advice that serves the public interest.

“Consultants work for somebody. R/UDAT works for everybody.” - Chuck Redmon, FAIA

BACKGROUND: BOZEMAN R/UDAT

The American Institute of Architects received an official application inviting a Regional/Urban Design Assistance Team (R/UDAT) program to Bozeman in January. Upon accepting the application, team leader Terry Ammons traveled to Bozeman with AIA staff to conduct an initial visit, which was completed on February 6, 2017. The application and initial visit informed the kinds of key expertise that were needed and an interdisciplinary national team was formed to work with the Northeast Neighborhood community.

Purpose

The purpose of this process was described as providing “recommendations and actionable goals for our community's future.” The following key project objectives were identified by the local R/UDAT steering committee, consistent with the city's Northeast Urban Renewal District Guiding Principles, approved in 2005:

- **Neighborhood Character.** The R/UDAT will help us preserve the unique character of existing NE neighborhoods and ensure that all values and desires of both residents and businesses alike are addressed. Our goal is for people to want to visit, live, and work here. The R/UDAT project will ensure that the City of Bozeman and other neighborhoods harmoniously support these developments and consider the impact of city-wide actions as a whole.
- **Land use, zoning, infrastructure, and safety considerations.** The R/UDAT will explore redevelopment opportunities along the Rouse Corridor and Idaho Pole Site. It will look to improve parking and safety measures, and address public facilities and density efficiency in the NEURD. It will also work to integrate Story Mill Park to surrounding areas and explore the development and expansion of future public spaces for an appealing urban environment.
- **Sub Districts.** The R/UDAT will help us outline development concepts and integration ideas for vacant portions of the area's sub districts. It will also help us better define the "essence" or ambiance of these areas within the larger Bozeman character, while working around and preserving current structures (train tracks, old depot building, etc.). Future development projects will embrace sustainable practices as well as excellence in urban design.
- **Connectivity of the NE to Downtown Bozeman.** The R/UDAT will explore ways to improve connectivity, such as pedestrian and transit opportunities and the opportunity for multi-modal transportation, in a way that services the North 7th Corridor and the greater Downtown area.
- **A 10-year plan.** The R/UDAT is skilled and proficient in outlining three-to-four actionable projects that Bozeman and its community members can implement in the near-term, mid-term, and long-term over the next decade. They will make this project tangible for all Bozemanites.

The Community Process

From April 7-10, 2017, a community process was conducted with broad participation from Northeast Neighborhood residents, business owners and stakeholders. It included the following key elements:

- An extensive bike, car, and walking tour of the neighborhood was led by local steering committee members and university students
- Meetings were held with city planning staff concerning current land use for the neighborhood and ongoing city initiatives.
- Focus groups were held with key neighborhood stakeholders, including local business owners, neighborhood association representatives, and residents
- A public workshop was held involving over 150 participants across two locations in the neighborhood. The event opened with a welcome block party. At the event, participants worked to answer several key questions posed by the design assistance team:

- If you were sending out postcards from the Northeast Neighborhood, what 3 places/images would you use to capture the place?
- The Northeast Neighborhood is...
- In ideal circumstances, what additional amenities would you like to see to make the neighborhood even more livable than it is currently?
- Going back to the postcard images, in 10 years' time what places or images would you hope would capture the neighborhood in a postcard?
- Knowing the area is going to change, what would success look like for you under an ideal scenario 15 years from now?

Team members asked additional questions about residents' hopes and concerns, as well as invited additional ideas on subjects not mentioned in the structured questions. Following these exercises, students from Montana State University led the workshop through some mapping exercises to solicit input on key neighborhood characteristics and thoughts for the future.

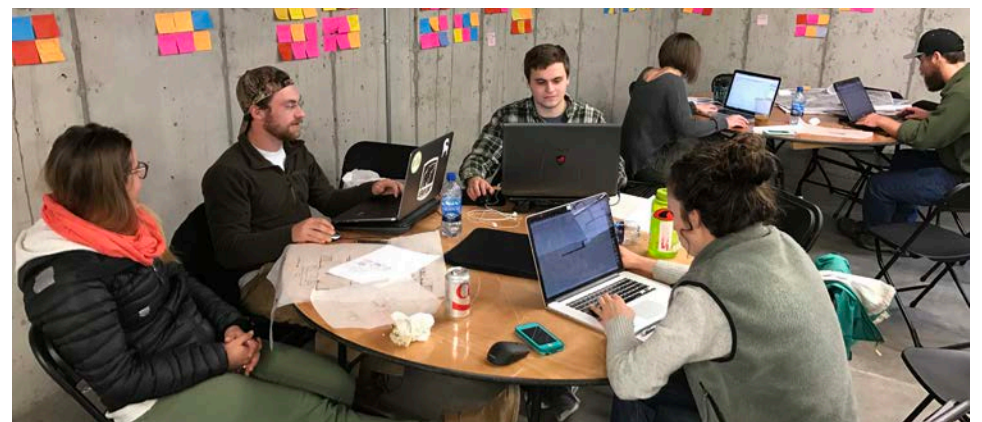
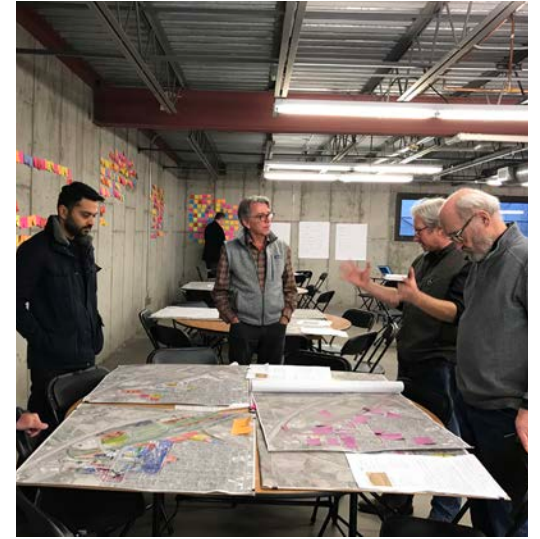
A weekend studio workshop was organized with the team members, university students, and local professionals to analyze community input and existing conditions to produce a series of key recommendations, captured in this report.

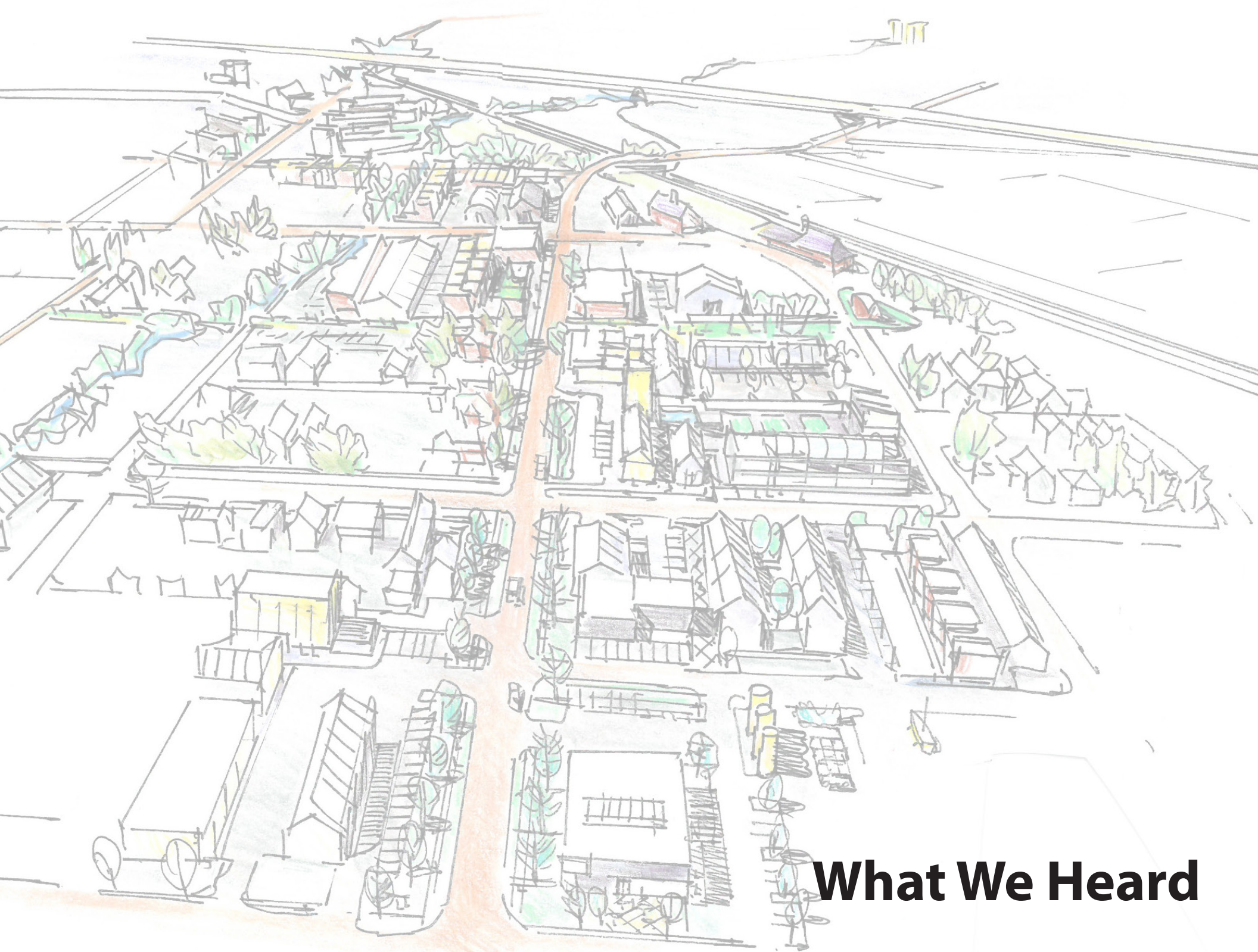












What We Heard

WHAT THE TEAM HEARD

Through its public process with the Northeast Neighborhood community, the R/UDAT team learned several key themes about local identity, community values, and both fears and aspirations for its future. These ideas have informed our work to develop a series of strategies for the area, and are summarized below.

The Northeast Neighborhood is...

The characteristics that make up the identity of the Northeast Neighborhood are widely held community values. The community told the team that the neighborhood is “funky.” The neighborhood’s character is authentic and unique in the context of Bozeman. It is a real place. The community also put intense value on the eclectic identity of the area and its mix of uses – a quality that is embraced and celebrated. The Northeast Neighborhood is also made up of creative and artistic people who value its diversity and freedom of self-expression. The neighborhood was widely described as livable, both for its adjacency to downtown and the quality of life it provides to the people who work and live here. The neighborhood was also described as “changing” and “in flux,” with some people characterizing it as “quiet” and others as “busy.” Finally, the Northeast Neighborhood is most importantly a community of people who call it home.

Neighborhood ‘Postcards’

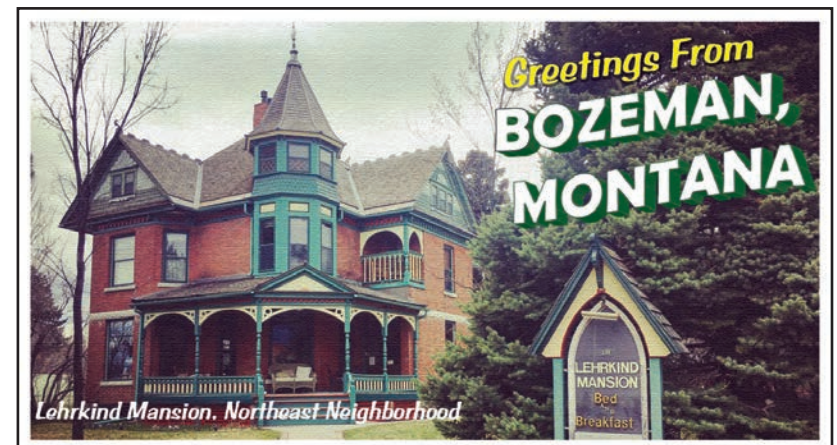
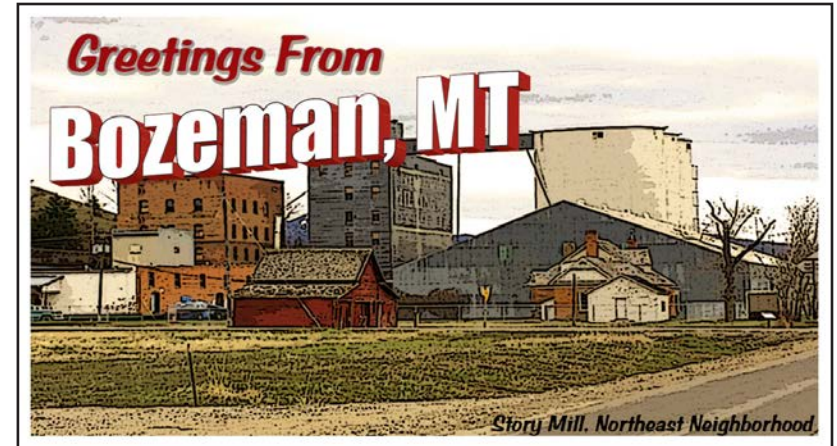
The team asked the community to think visually about what components of the neighborhood they most value today. When asked to identify what places in the Northeast Neighborhood would best represent you on a postcard, there was widespread support for a select group of places. The train depot, the silos, Lehrkind Mansion, the Misco Mill and Story Hills and Story Mill were all identified as iconic and representative places. The lumber yards and Bicycle House were also identified. Finally, the natural setting and viewsheds to the mountains were seen as important representations of the Northeast Neighborhood.

Community Amenities

In terms of the kinds of amenities the community would like to see in the neighborhood, there was widespread support for a small market or grocer, or a farmers market, cafes or food trucks. Additionally, people placed value on additional open space and trails as well as recreational opportunities. However, one of the most widely shared ideas on future improvements concerned the need to better connect existing assets throughout the neighborhood and make its streets more friendly to pedestrians and bicyclists.

What is most important to protect?

The team inquired among participants regarding what characteristics of the Northeast Neighborhood are so important and carry so much intrinsic value to community identity that



they must be protected and preserved. Without question, two manifold interests emerged as important. The first is the preservation and strengthening of the unique sense of place in the neighborhood and its contributing components. The second characteristic is the accessible and affordable housing proposition that has traditionally prevailed in the neighborhood, and the value that affordability has in producing a diverse neighborhood that can support creative professionals and working families. Affordability plays a strong role in the underpinning values that predominate in the neighborhood, including a sense of inclusion, freedom of expression and creativity, and compassion for and civic engagement with one another. The Northeast Neighborhoods' sense of community is directly tied to the concept of affordability, as it has produced a mix of residents that share values which honor diversity, the eclectic self-identity of the area, and a shared sense of ownership that respects individual expression. Residents cherish the eclectic neighborhood makeup, the authentic feel of the area, and the key contributing structures that make it what it is. Those structures include things like the mills and the depot, the industrial buildings and modest residential buildings, and the collective funky neighborhood character that is produced by their relationship to one another. Citizens also prioritized the viewsheds of the Montana landscape, including the creeks and trees, the open space, trails, and natural setting; and the small-town friendliness and family-oriented community that exist today.

Postcards of the Future

The team asked community participants to share some of their aspirations for the future by creating a series of postcard images that expressed what kinds of positive change people would like to see. Here the community's message was clear: strengthen what we have – do not fundamentally change its character. When it was described in details, this translated into “more of the same,” building on some of the cherished components that make the neighborhood what it is today while better connecting it and adding upon it. Some of the ideas included development of the depot building, Story Mill, the Idaho Pole site. People would love to see the Bozeman creek enhanced in a way that it is a stronger amenity and more accessible, and they would like to see additional green space and public art. It also included additional housing, with an emphasis on modest and affordable housing. There was also interest in additional cafes and market options. The community articulated that they would like to see more pedestrian-friendly and bike-friendly streets, and greater connectivity across the neighborhood as well as traffic calming. The idea of creating connected, people friendly streets for all ages was a strong theme of the exercise. Finally, there was interest in strengthening the bonds of community further and building a cooperative civic spirit across the neighborhood.

What keeps You Up at Night...

The team also explored an honest conversation about residents' fears and uncertainty

about the neighborhood's future given the pressures of growth and change. This exercise contained some important learning for the team. Two main themes emerged, reflecting the core values and cherished characteristics that define the neighborhood today. First, there is widespread fear about growth and new development leading to gentrification. This concern was two-fold, including both the concern that existing residents might be priced out of the neighborhood, and more importantly, that the very identity and sense of community that exists in the Northeast Neighborhood today would be fundamentally and permanently altered by such change. Second, there is widespread concern about new development altering the unique sense of place that exists in the community today, and this concern is backed by perceptions of recent experience with development elsewhere in town. Residents shared concern that new development would cause them to lose important viewsheds to the natural landscape. Even more importantly, there was significant feeling of complete disempowerment and lack of agency to influence the direction of future development. Some residents expressed dismay that the community they cherish may be lost forever and they have little influence to change the course of events that may be coming. Concerns included perceptions about moneyed interests carrying powerful influence over future development at the expense of the existing community and big developers defining the future of the Northeast Neighborhood rather than the people who give it life and vibrancy today. There was frustration expressed over the governing process and lack of community voice in it. There was also fear that citizens are struggling with understanding what change represents and it is causing greater angst and a loss of community more generally. These are fundamental issues to address moving forward, and everyone must play their part in the solution.

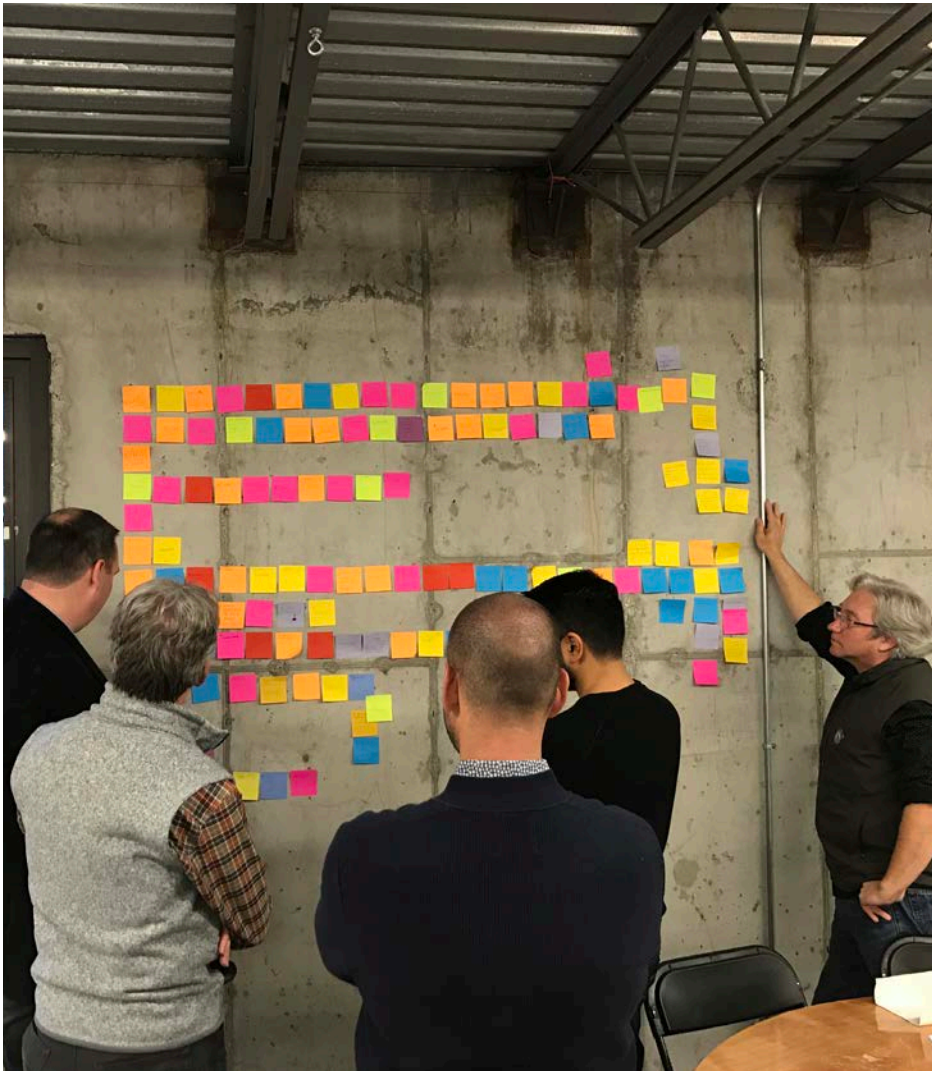
How Do You Define Success?

The team asked participants to explain how they would define community success in the next 15 years. Again, there was a clear community message that was consistent with the preceding dialogue. The community wants to maintain its unique character, evidence of its history, and sustain its vitality and livability. Affordable housing plays a clear role in maintaining accessibility and providing a means for a mix of residents to call the Northeast Neighborhood home. As one person offered, “change means that in 15 years anyone in the Northeast Neighborhood now (in 2017) would not feel like a stranger on their own land.” Residents want new development to reflect and strengthen the unique sense of place that exists today, rather than “generic” or “cookie-cutter development” that has been seen elsewhere. As one person said, “our fear is that the unique fabric we have will be replaced by antiseptic blocks with no character.” They want to maintain the eclectic mix of buildings, uses, and people that make up the neighborhood today, and build upon existing conditions with adaptive reuse and appropriate new development that honors that fundamental identity. They want new development to promote a stronger community, but one that is not fundamentally altered in identity or makeup. As one participant concluded, it must be “thoughtful development.” They want to maintain the “small-town feel” that is shared by the people who live and work in the Northeast Neighborhood today. For the

neighborhood to be successful, growth and new development must reinforce these key characteristics rather than diverge from them.

Conclusions

The team did not find a community in the Northeast Neighborhood that is anti-development or “NIMBY” (Not-In-My-Back-Yard). The team heard that this community is expressly concerned about how to maintain its funky identity, its overall affordability and continued accessibility to a mix of residents and workers, and its unique sense of place and community as it grows and evolves.



Historical neighborhood
diversity, socioeconomic
diversity, to the
ability to the
of the scale
able, many, like
takes

- maintain funkiness
- affordability
- keep inclusionary zoning
- bike friendly

Retain its
identity

- 10 yr "success" of a
- found balance of costs - affordability
 - dev has honored historical/ethnic/char of Bozeman

Growth that manages to promote community through inclusiveness, affordability, opportunity, promote livability

Success in 15 yrs
Still have small town feel

diversity
economically
socially
culturally

- open space
- house in a beautiful neighborhood
- what business plan on Montana products

A VALUABLE
THAT SUSTAINS
THE LOCAL AREA
NOT
(DRAW
ATTENTION) FROM
OTHER AREAS

liveable
& still small town

Successful change
will be affordable
down town
keeping open space

change means
but working in
moving

"This area historically has been the affordable part of Bozeman - where families get started, and people grow old. Please don't gentrify!"

- WORK - PLAY
TRIT BOZEMAN
LIVE
E- PED
EMPHASIS

NE Bozeman goes
back to being a place
lower middle class
people can afford
to buy or rent.
Maybe even poor
people.

- More affordable housing for service industry
- Preserve historic architecture
- Connected neighborhoods

- RACIAL DIVERSITY
- FINANCIAL DIVERSITY
- LIFE STYLE DIVERSITY

- People are able to live and work in the immediate area

- Cross up the Idaho Ave SDE to a better street so that it can be used.

Better trail connection
for Bozeman residents
Dinner, bus, and a balance
school, and outdoor recreation

10-15 years
Expand livability
who currently live
space - not do
Homes, not open

Stop Urban Sprawl
More Green Space
Walkable town

NO SPRAWL
MORE OPEN SPACE
BIKE-ABLE
WALK-ABLE

- Bozeman & specifically the NE neighborhood remain highly livable, in terms of friendly neighborhoods, keeping natural elements & green space intact, bikeable, walkable

NO LIGHT POLLUTION
Keep all existing
appears to infill only
empty lots w/ well
designed smaller scale
buildings (newer w/ better
features)

Community centric neighborhoods. Not so many high density living situations that people don't know one another.
Lots of open space and parks.

Protect the wetlands
Keep & Simi
Keep extra
out of sight
because they
the train so

brant
Wable
Retain Uniqueness
city friendly

passing the
character
developing open
areas (and rebuild)
in ways that reflect
the existing context
w/

open spaces
w/ mixed style
living.

No Hard
Hollowed
buildings!!
Trees - No. 4
keep northeast
feel

7th Street
redo NE
save memories
blowing fill in
Urban/less
sprawl

Preservation
+ Adaptive
re-use of
historic Str

ails +
kid to
places

- Change, 10-15 yr -
This building replaced
More kids playing
outside.

Successful change
More housing.
Housing that
Saves the
neighborhood.

(most commercial)
people w/ mid to
low incomes
use the space
the way they

10-15 year success
Boreman does not
become Aspen, CO!
that is not
wealthy

A real neighborhood
w/ you & your
neighbor - can be
well and strong
low rise, character
maintained, mixed
use

"We love the 'funkiness' of the NE neighborhood. It's wonderful seeing the neighbors' creative use of their space. Too much these days is commercial or modern-looking."

real people
able to
property
area
w/ coloring
and alcohol
to allow for
recreation
ways to
pay for
side
streets

Good change
would be a
more walkable
and less
industrial zone

- CLUNKY OLD DESIGN
HOME
- QUALITY NEIGHBORHOOD
- GOOD TRAFFIC FLOW
- PRICE COMMERCIAL
DEVELOPMENT TO MEET
NEEDS OF THE AREA

- thoughtful, guided
growth that supports
diversity (demographics,
aesthetic)
- green spaces &
pedestrian & cycling
routes
- strong community
identification +
re-possibility

- growth is inevitable,
so more open
space
- minimal high-rise
(no Black/olive
- more trails

PLenty of AFF
NEIGH DEVELOPE
AND OR WORK
HOUSING w/ a
THIRD MIKE

RE. BUT
NEIGHBORS
TO ENCOURAGE
MIXED (PARKS
LOCAL)
STUDIOS @
SHOP, ETC

- Infrastructure
maintained
- still mixed income,
mixed use
- Wild Crumb is
still here.

MY STREET IS
STILL DARK & QUIET
& CAN ONLY SEE THE STARS
W/ NO LIGHTS & NO NOISE
DUE TO GARAGE & RESIDENCES

Successful change
means holding the
character of the
funky, mismatched
neighborhood. Open up
Re-use space
not bulldoze & build

Control the
growth
Control the
housing
Housing trucks

Preserve old
style & or
houses

WALKABLE
BIKE-POD
EMPHASIS

NE Boyman goes
back to being a plain
low middle class
people can afford
to buy or rent.
Maybe even poor
people.

- More affordable housing for service industry
- Preserve historic architecture
- Connected neighborhoods

- Line style diversity

Better-trail Corvair
-Sub. Vikram Pabitra
Durga, his son, Durga
Shankar, son, Durga

- Walkable towns

NO SPRAWL
MORE OPEN SPACE

Belmar & Spectacularly the NE neighborhood

crowd c

Over

People Don't Know

ne qu

dthe

of life

Keep ultra thin

ity of

"As you can see by the size of the crowd and the earthiness of the group, we value the quality of life!"

I RECENTLY GOT IN
A FIGHT WITH SOMEONE
I GLARED AT A DEVICE IN
A YACHT AND MOVED AT
MIDNIGHT I WAS DRIVING
HOME WE STARTED SINGING
AT EACH OTHER AS I WAS
SINGING ABOUT ME DRIVING
FROM NY, I AND MYSON
WENT HOME TO REMAIN THERE
I WOULD LIKE TO AVOID
THIS KIND OF ENCOUNTERS
EVERYONE CAN CHOOSE

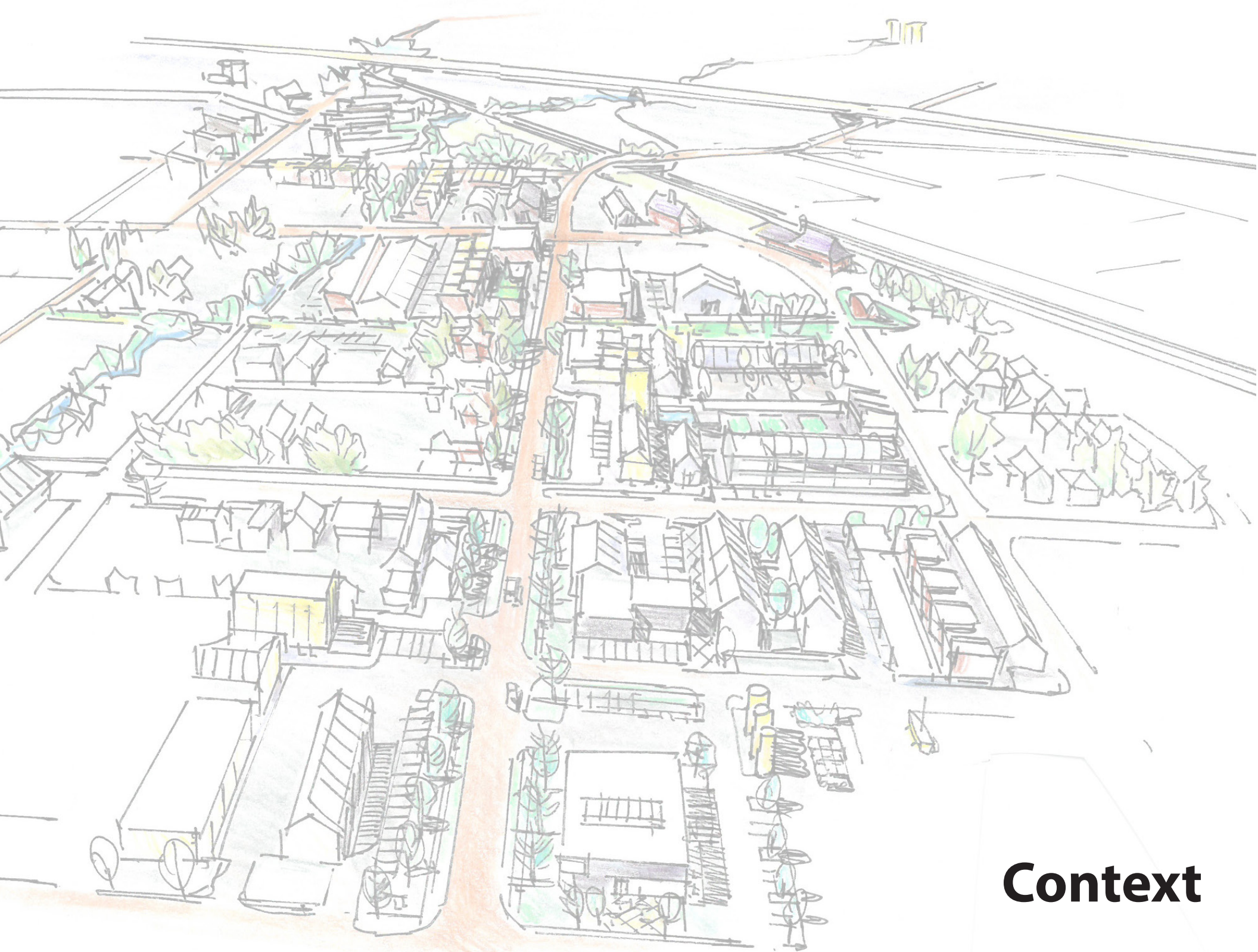
- 1) Not too many more vehicles or traffic. 70% of neighborhood feel
- 2) green space saved
- 3) no automobile club

- ii) 10-15 years - how to define them
 - by ~~older~~ ^{more} output than
 - that ^{exp} open years
 - development is not similar - ^{high} ^{high} ^{high}
 - trials / scandals
 - former markets

- Successful Change
 - Quicker trains
 - affordability
 - connectivity to bus
trails
park
 - neighborhood diversity

10/10/99 "Successes and change"
- In the core, downtown &
residential area - previously
of residential character -
this does not mean 'as is'
not used in London. To keep
very expensive London. It
means ~~change~~ a mix of
large family houses and
secondary units, flats and
dense working class housing.
Traffic control!!! I do
not want a million cars in a small area

Bin 15 years
Renovation of
historic grooves
rather than
demolition of
older buildings



Context

ABOUT BOZEMAN

Bozeman's rich history and future is the result of its strategic location and beauty. The city originated as a connector to access the gold from mines in Virginia City through the Gallatin Valley and on the Oregon Trail. The town was formed 1864, and although vulnerable to Indian attacks, its economic importance survived the conflicts of Western expansion. Montana's fertile prairies led the way to agricultural dominance. Bozeman's economy still continues to benefit from its natural assets and calculated location. As such, Bozeman has become a nationally recognized place to live; with its robust economy and broad outdoor recreation opportunities the city has evolved from a small settlement to one of the most desirable regions of the western United States.

Bozeman, once a gateway trail, has now become the economic center of the State. With a world-class university, first-class international airport and idyllic setting, Bozeman has been able to build an economy consisting of strong industry clusters. Major sectors include photonics and optics, recreation, bioscience, technology, manufacturing, and tourism. Growth continues to be driven by strong home construction, software and technology and visitor spending.

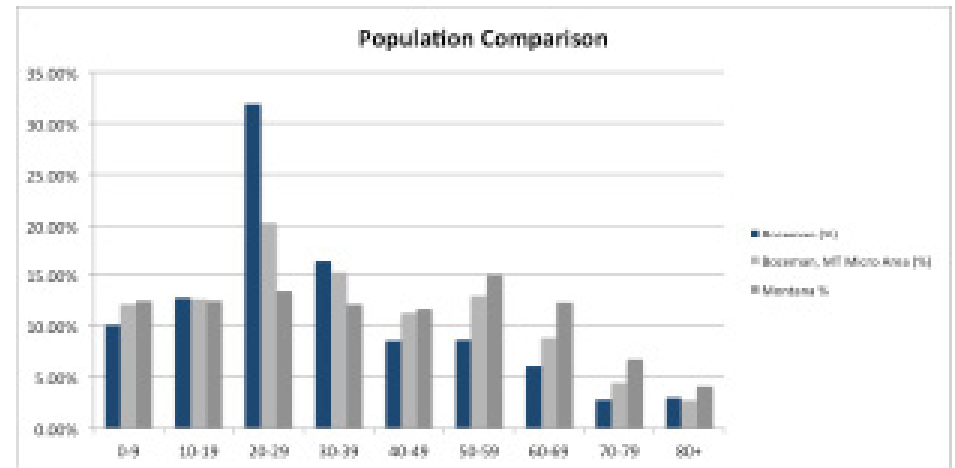
A Population Explosion

Since the 1980's, Bozeman has grown to become the 4th largest city in Montana, and the fastest growing Micropolitan city in the U.S. (July 2014 and July 2015) among cities with populations less than 50,000. (U.S. Census Bureau).

One of the greatest contributors to this population explosion is a shift in generational preferences and flexibility. Traditionally, workers were tethered to urban centers for workforce activity. However, today technology has enabled Millennials to choose locations, like Bozeman, with amenities that contribute to quality of life, scenery, and nearby recreation. In fact, almost 75% of the local population growth stems from in-migration, which is bringing increased investment and jobs to the local economy. The population comparison chart reflects the high number of Millennials within Bozeman, which is almost twice the rate of the state of Montana.¹

Currently Bozeman has a population over 45,200. Gallatin County has an estimated population of over 100,700. Assuming existing growth rates, Bozeman would exceed 75,000 people by 2030. Assuming 2.2 units per household. There is a demand over the next 15 years for over 15,000 new residential units in Bozeman. This population increase is both a problem and opportunity. The increased population will increase demand from a broad market which will increase opportunity for the Northeast Neighborhood, however the increased demand and limited supply is increasing values and pricing some people out of the market.

¹ US Census



“There is demand over the next 15 years for another 15,000 housing units in Bozeman. The challenge will be to harness the growth while maintaining Bozeman’s authentic character.”

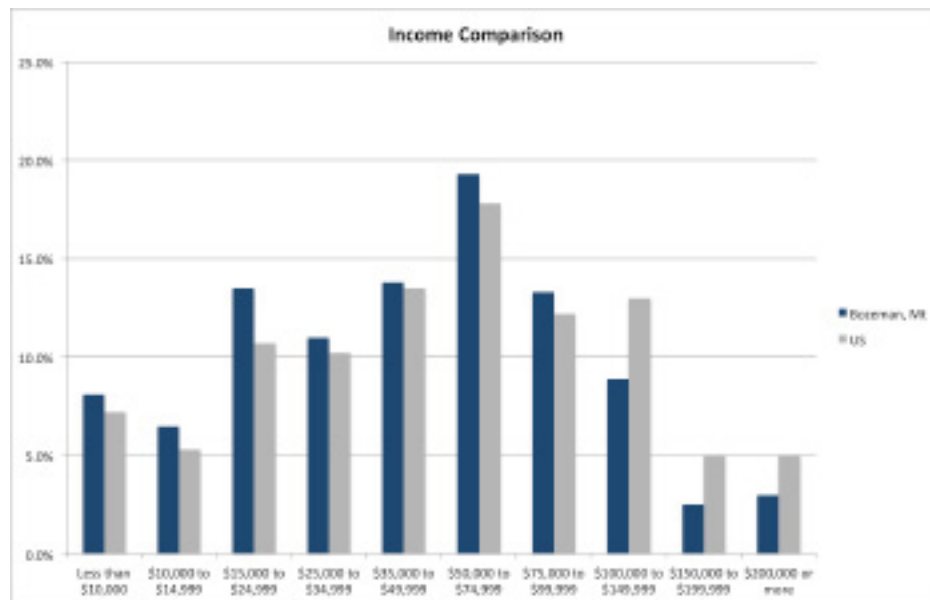
Bozeman, MT							
0.5% CAGR		1.0% CAGR		2% CAGR		4.0% CAGR	
Year	Population	Year	Population	Year	Population	Year	Population
2010	37,820	2010	37,820	2010	37,820	2010	37,820
2011	38,009	2011	38,198	2011	38,576	2011	39,333
2012	38,199	2012	38,580	2012	39,348	2012	40,906
2013	38,390	2013	38,966	2013	40,135	2013	42,542
2014	41,660	2014	41,660	2014	41,660	2014	41,660
2015	41,868	2015	42,077	2015	42,493	2015	43,326
2016	42,078	2016	42,497	2016	43,343	2016	45,059
2017	42,288	2017	42,922	2017	44,210	2017	46,862
2018	42,499	2018	43,352	2018	45,094	2018	48,736
2019	42,712	2019	43,785	2019	45,996	2019	50,686
2020	42,926	2020	44,223	2020	46,916	2020	52,713
2021	43,140	2021	44,665	2021	47,854	2021	54,822
2022	43,356	2022	45,112	2022	48,811	2022	57,015
2023	43,573	2023	45,563	2023	49,788	2023	59,295
2024	43,790	2024	46,019	2024	50,783	2024	61,667
2025	44,009	2025	46,479	2025	51,799	2025	64,134
2026	44,229	2026	46,944	2026	52,835	2026	66,699
2027	44,451	2027	47,413	2027	53,892	2027	69,367
2028	44,673	2028	47,887	2028	54,969	2028	72,142
2029	44,896	2029	48,366	2029	56,069	2029	75,027
2030	45,121	2030	48,850	2030	57,190	2030	78,028

Source: U.S. Census 2000, ES0

Income

Bozeman's income per capita of \$26,506 and the median household income is \$45,729. The income by range chart shows the percentage of income for Bozeman compared the US. According to the Census data, one out of every five people in Bozeman is impoverished and HUD shows that over 30% of households in the Northeast Neighborhood are impoverished. People with limited income have different needs, values, and attitudes which should be considered in the Northeast Neighborhood initiative. Poverty compromises the economic potential of the market and also has a higher propensity for lack of healthcare and social services.

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Impacts of Tourism

Another contemporary factor driving Bozeman's growth today is tourism. A recent report by the city of Bozeman indicated the City attracted 5 million tourists last year who spent \$732 million. More and more families are seeking destinations to escape dense cities and explore areas with strong historical significance that can support active lifestyles. Bozeman's national reputation for hiking, skiing, fishing, and rafting is unparalleled.

Bozeman's strategic location serves as a major entry point into Montana. In fact, the Bozeman Yellowstone International Airport is the busiest airport in Montana, and the 8th busiest airport in the western U.S. (Bozeman Yellowstone International Airport). Due to the international airport, Bozeman serves as a northern gateway to one of the most visited parks in the Nation. The airport is located less than two hours from Yellowstone National Park, which attracts over 4.1M people per year .

Total tourism In Montana equates to an \$3.6B industry and attracts over 12M visitors per year. A portion of these tourism dollars could be captured within the district if there were additional uses to create destination traffic.

Growth is creating significant management issues for the economy. The population growth and increased tourism has affected both Bozeman and the Northeast Neighborhood study area. One of the greatest challenges when you have such accelerated population growth is maintaining an adequate housing supply. Housing within the district has increased over 127% in the last year.

According to community feedback, housing is one of the biggest concerns for the Northeast Neighborhood. Sourcing skilled construction labor supply is an issue, and a large portion of skilled labor are being absorbed in resort areas of Big Sky or West Yellowstone, where skilled construction workers earn a premium on higher construction projects from wealthy owners building second, or third or fourth, homes.

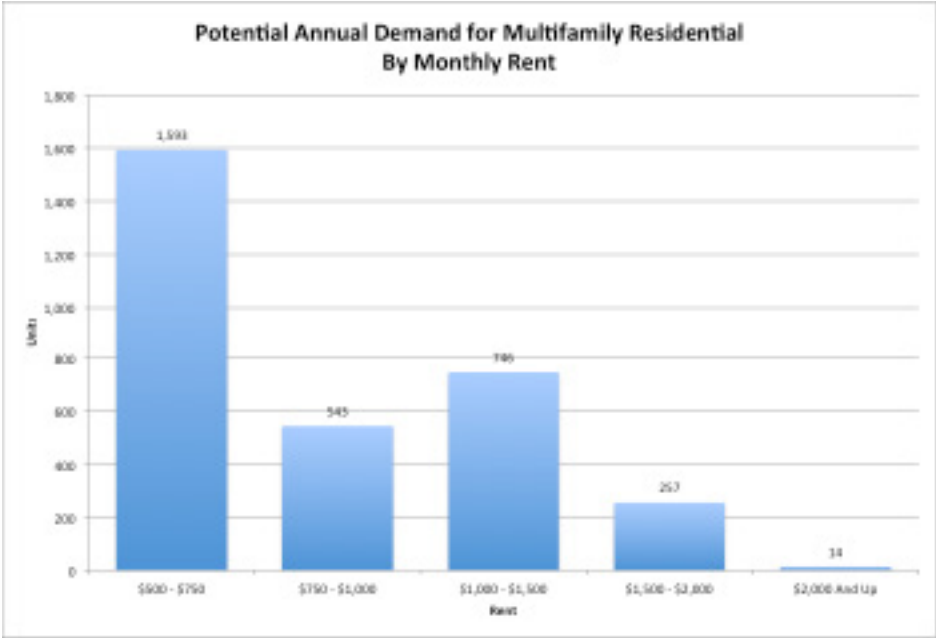
Increased real estate and labor costs are affecting the ability to maintain attainable housing. As a result, the median home price is greater than \$300,000, the highest in the State. Increased housing costs, with the fact that Montana's economy has relatively lower earnings relative to the US, creates a unique imbalance that is a potential threat to maintaining the existing context of the City and study area.

Bozeman Housing Tenure



Another issues to mention is the shift in housing preferences. A majority of growth in the region over the last 40 years occurred outside Bozeman city limits. Generational and cultural preferences have shifted populations back to urban areas, but lack of housing choices and affordability is creating challenges for infill, including in the Northeast neighborhood. This has increased the number of rental units. Currently 55.6% of the population rents and 44.4% of the population are homeowners. Currently median rents are \$849/month. For over ½ of the population in Bozeman, this equates to over 30% of household income. Mortgage costs also average more than 30% for over 1/3 of the population. Generally, the income share devoted to housing that is below 15 percent is a good proxy for highly affordable, while the income share devoted to housing that is above 30 percent is a good proxy for unaffordable.

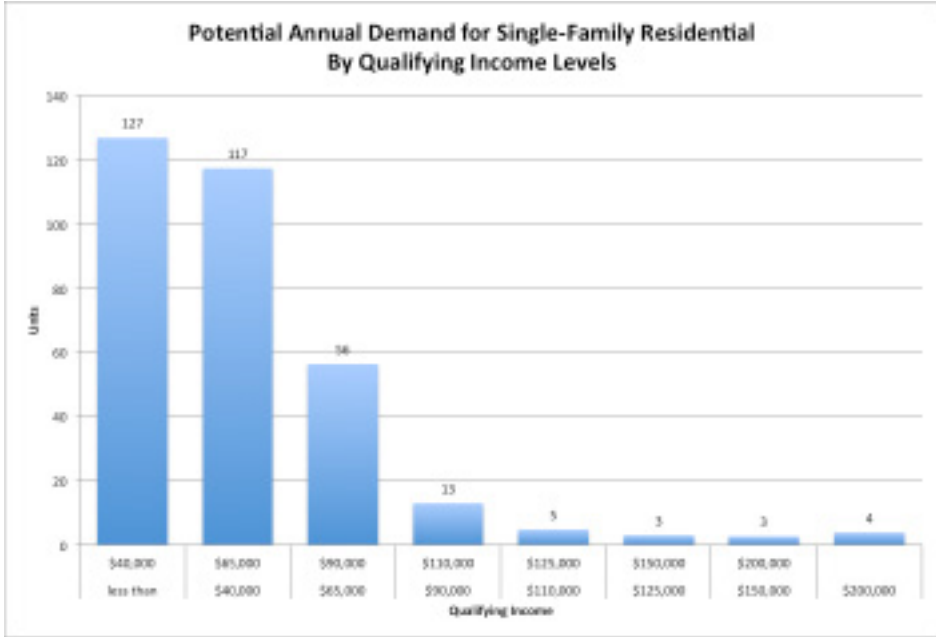
To understand demand, this process explored capacity for new residential, both in terms of rental and ownership. The following chart shows the potential annual multifamily demand by income affordability ranges.



Using historical absorption and existing incomes, current estimates show the market could support approximately 3,100 new rental units per year. However, due to depressed wages, only 50% of the new construction would qualify for market rate housing. Most of the landlords interviewed within the study area stated that they are achieving greater than \$800/m in the Northeast Neighborhood.

Using historical absorption rates and existing Bozeman incomes, Bozeman could support 327 new owner-occupied single-family units per year, of which only 10

new single family units would qualify above \$300,000. This means the majority of construction velocity is non-local, as the local market demands a higher number of buyers are non-local.



This increased growth is also placing pressure on facilities and infrastructure. Higher traffic creates congestion and greater wear on infrastructure. As a result, the natural response creates suburban sprawl towards Belgrade, and beyond, where land costs are less.

Using the history and honoring the character to inform the vision of the Northeast Neighborhood.

The Northeast Neighborhood was once the economic center of Bozeman. In the 1880s, the district was created as a result of the Northern Pacific Railway. In 1882, Bozeman merchant Nelson Story orchestrated the depot and rail spur. As part of the infrastructure, Story constructed a massive water-powered grain milling complex. Additional improvements included a roundhouse, passenger station and freight depot. The rail and associated infrastructure spawned additional residential development and became a significant manufacturing and distribution hub for the entire region. Early businesses included flour mills, grain elevators, freight storage, ice houses and General Lager Brewery.

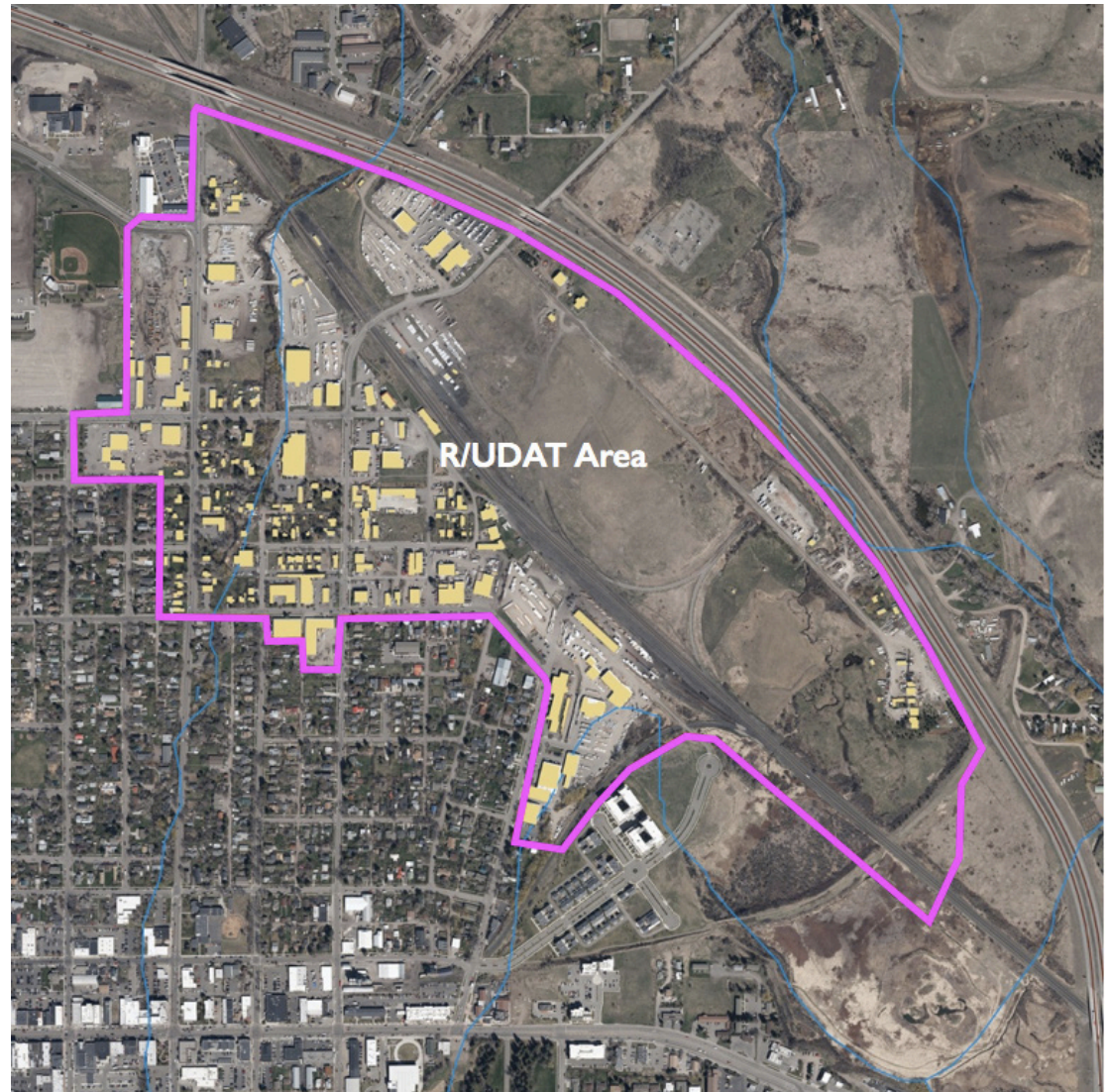
The Northeast Neighborhood is located in the northeast sector of the city of Bozeman. The district is approximately $\frac{3}{4}$ of a mile from Downtown Bozeman. The area completes the block pattern extending from downtown and follows the I-90 Interstate as it curves West towards Rouse Avenue. The R/UDAT study area includes approximately 241 acres and includes over 158 individual parcels. According to the Gallatin County, the current market value of improvements is over \$80M.

The area is generally laid out in a traditional grid pattern, until it reaches the North Pacific Railroad. A majority of the historic structures fan out from the original railroad depot, as it once served the economic center of the district. Bozeman Creek is a tributary from Palisades Mountain to the south and generally runs north south through the district, and feeds into Gallatin River to the north. This watershed bifurcates several blocks paralleling Rouse as it traverses the district, creating several small and irregular lots.

Historic Character

One of the greatest assets within the study area is the historic center, which is located near E Tamarack and Front Street. This area includes a number of historic structures including the historic Bozeman train depot, Lehrkind Mansion and former Brewery site and the MISCO Grain Elevator.

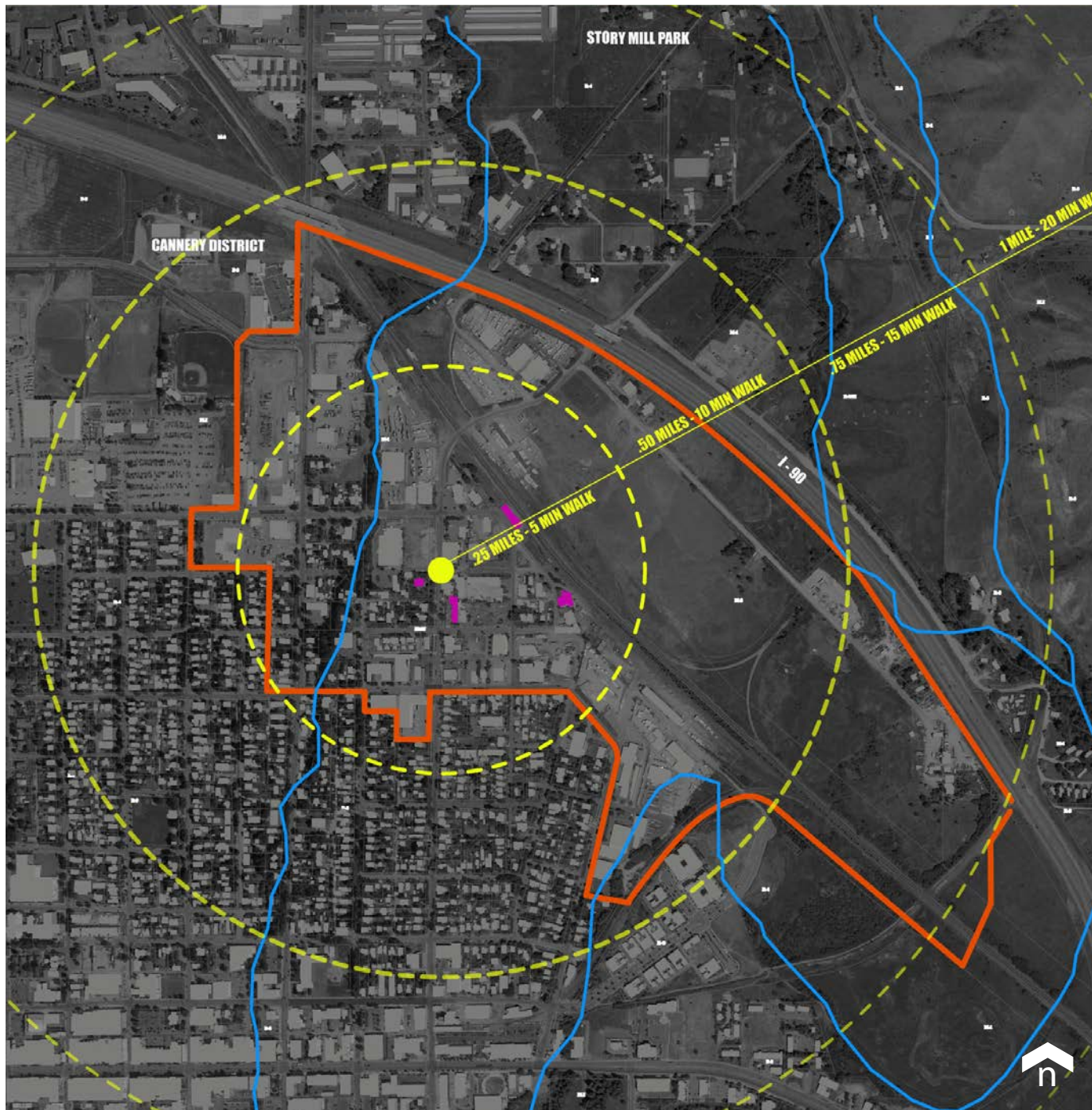
The district contains approximately 56 residential units, however the majority of the district is influenced by established residential neighborhoods, and original houses within the original Northern Pacific Addition.



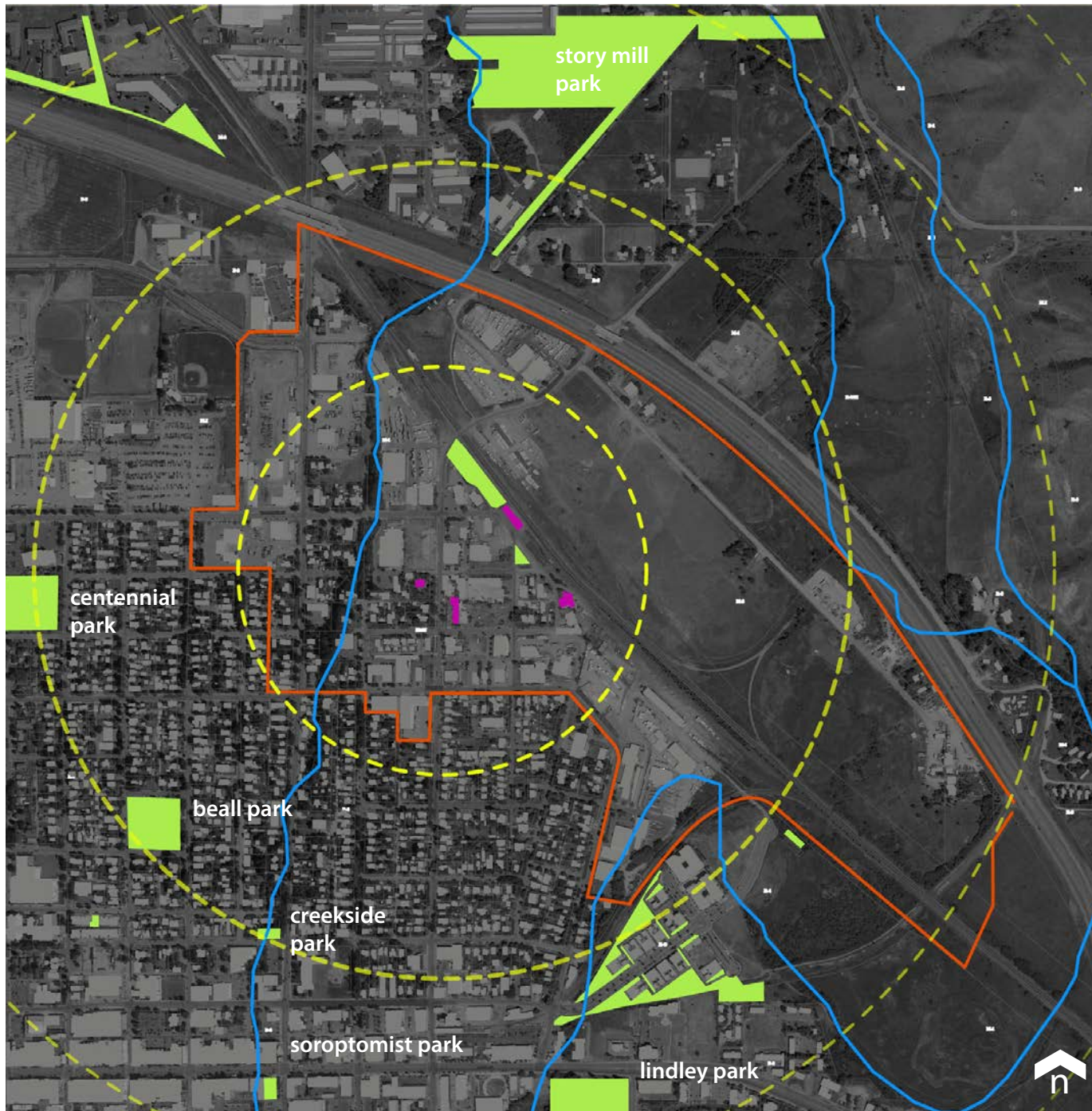
Bozeman R/UDAT project area.

Connectivity

There is strong connectivity between the Northeast Neighborhood and downtown, as well as Interstate 90. The grid pattern also allows easy alternative pedestrian options to connect to the remainder of greater Bozeman.



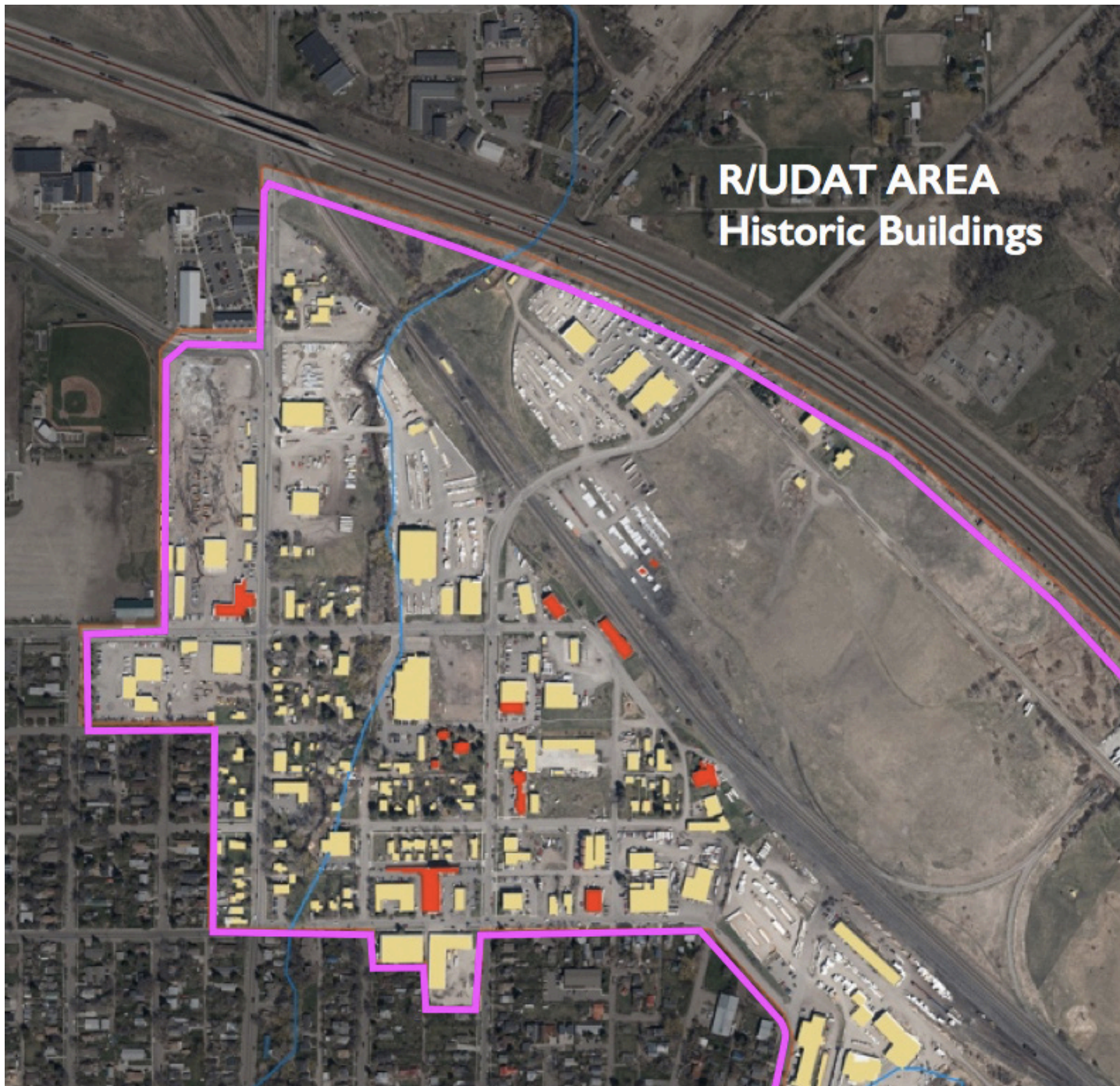
Typical walking radius.



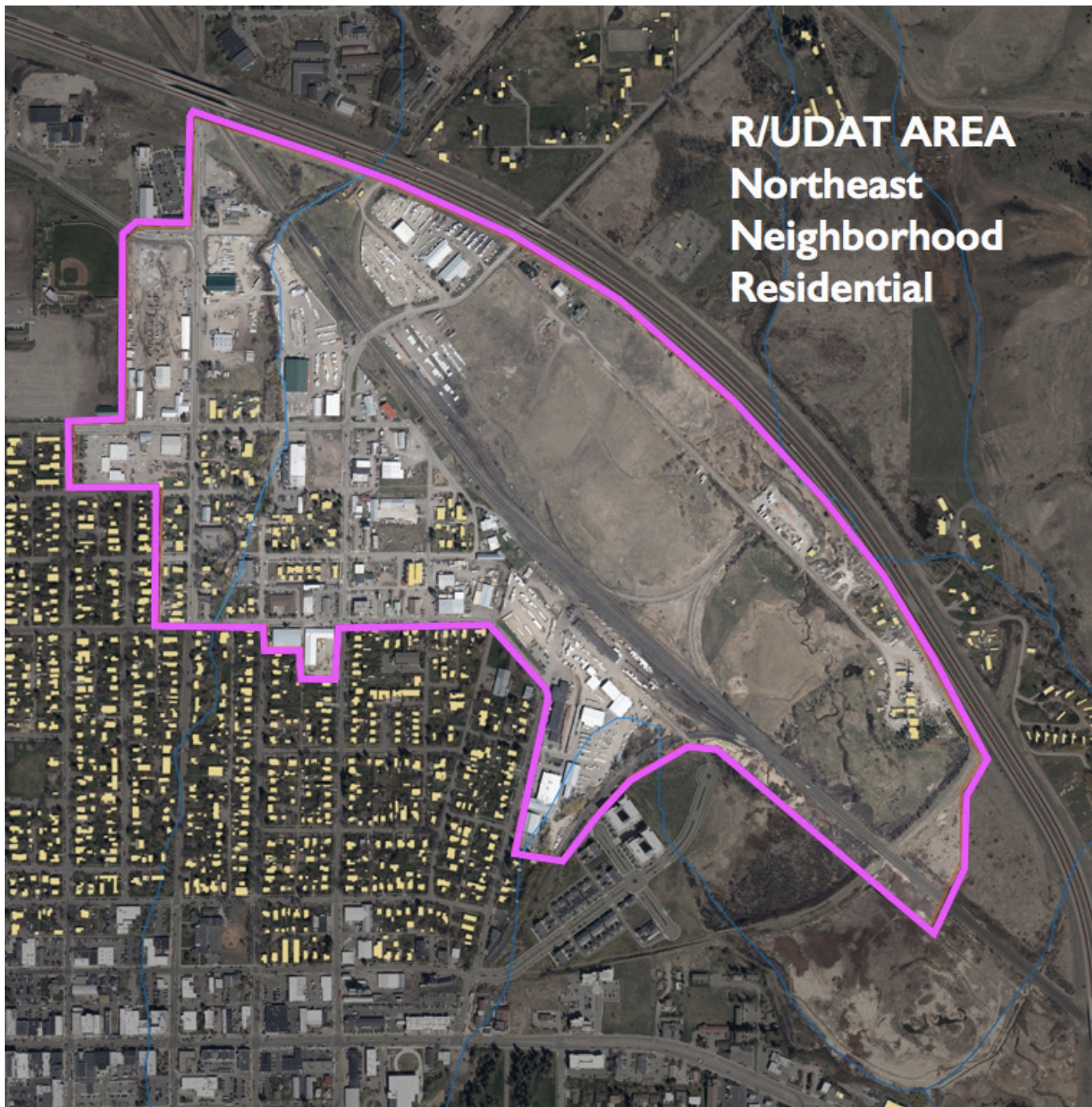
EXISTING PARKS

While there is plenty of open space within Bozeman, there is a specific lack of civic parks and social gathering spaces in the North East neighborhood. The existing parks are more regional in nature and do not provide opportunities for day to day activities and recreation. They are also disconnected from the North east neighborhood core and not very easily accessible.

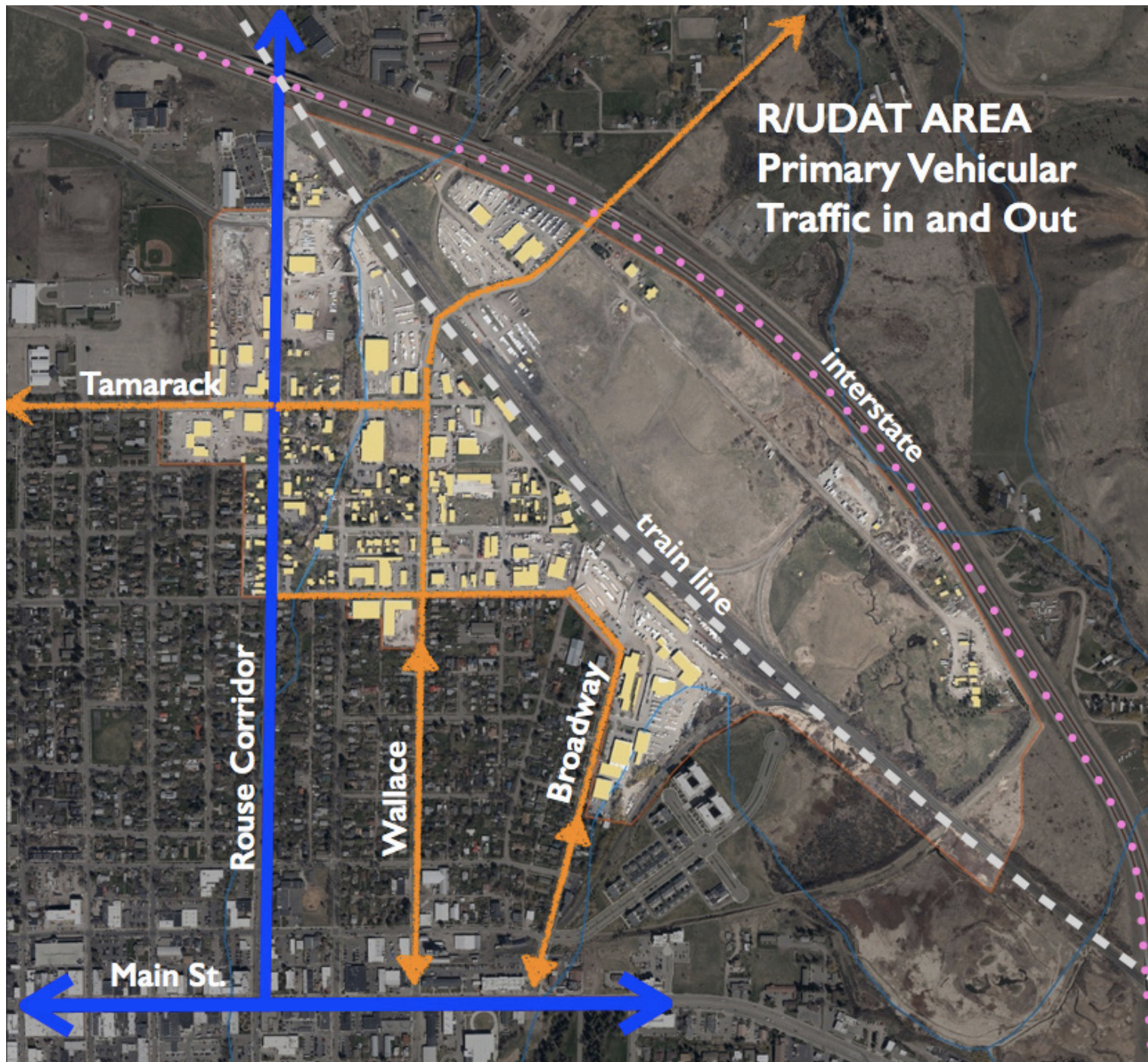
Existing parks and open space around the NE neighborhood.



Historic structures within the project area.



Residential units within the project area.



Primary connections with downtown Bozeman and the highway.

Adjacent Influences

Directly West of the district is the Gallatin County Fair Grounds. The Fair Grounds are active year round and also houses the Bozeman Bucks American Legion Baseball Team, the Bozeman Amateur Hockey Association and the Bozeman Rifle and Pistol Club indoors shooting Range. On the southern end of the district, developers recently constructed The Village Downtown, a planned development with a modern interpretation of a New England theme. The project contains luxury lofts in mid rise towers, 23 existing condominiums, as well as future home sites.

Just south of the study area is the Babcock and Davis subdivision. This area is bounded by Lamme to the south, Peach to the north, Perkins to the west and Wallace is the central street within the subdivision. Most of the area consists of small lot residential and also contains the Karst State bus depot. A majority of the houses range from 800 to 1,200 square feet in size.

District Gateways

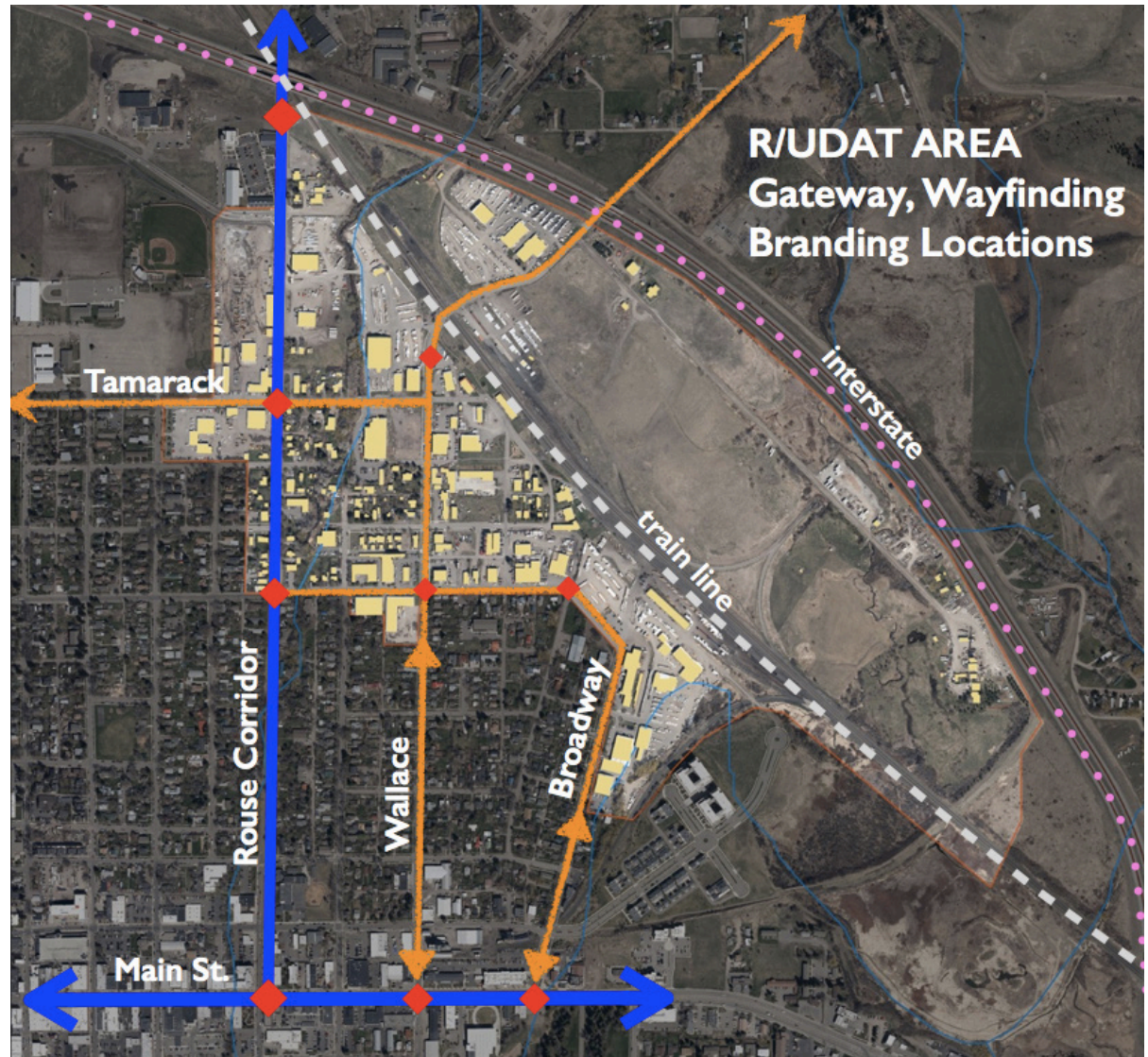
The main gateway to the district is at Rouse and Interstate 90, along the northwest edge of the study area. The district is bounded to the East by Interstate 90. Rouse is the major transportation corridor of the district and also serves as the western boundary of the study area. The district is bisected by the Northern Pacific Rail Line. Peach Street, a local residential collector, serves as the southern boundary.

New Developments

New development in the core includes contemporary tri-level condos at 626 E Cottonwood. These 3 story units are valued at over \$850,000 each. Newer retail includes the Wild Crumb, a local bakery and coffee shop, Treeline Roasters and Coffee Shop, and Bespoke Bicycles. Other notable retailers include the Meat Shoppe and the Bozeman Brewery.

Commercial and Industrial Buildings

The area is interspersed with industrial and commercial buildings. The area contains several heavy industrial users, including the city of Bozeman shops at Rouse and E Tamarack, and M&W repair across Rouse to the West. On the northeast



District Gateways.

sector of the district is Empire Building Materials with large industrial metal buildings and outside storage. Within the southern most portion of the district and adjacent to the North Pacific rail line is Simkins-Hallin building supply.



New retail and residential developments within the district.

R/UDAT AREA
**Commercial/
Industrial Buildings**



Industrial and commercial structures located with the project area.

The Northeast Neighborhood, a Historic District With Rich Potential.

Today, the Northeast Neighborhood is strategically located and can support the housing shortage and leverage existing infrastructure encouraging a contemporary form of multi-modal transportation due to its proximity to downtown, the university and access to adjacent natural amenities. The question will be how the Northeast Neighborhood can be strategic without destroying its character and the attributes that make it unique.

The challenge will be accommodating new housing and commercial development with appropriate policies and design standards to maintain the integrity and quality of life for residents and business owners in the existing area. Design must also honor the past and the historical significance of the location. New policies should regulate new construction so that it fits within the neighborhood and focuses on quality context-sensitive design.

As Bozeman continues to grow, a focus on great public spaces, walkability, and opportunities to cater to active lifestyles will continue to enhance Bozeman as a place and reinforce its great quality of life and economy of choice for knowledge workers and talented professionals.

One fear of additional development in the Northeast Neighborhood is gentrification of the area and increased values in an already price sensitive market. The City should explore a regional policy to make housing more attainable to the region as a whole. However, certain developments could implement a portion of housing that is below market rates in exchange for other concessions. For example, public property could be made available to those developers that conscientiously address some levels of affordable housing. Design should be unique and reflect the existing character distinguishable from other parts of the neighborhood.